

- RAG Learning

4.4 Global Industries and Companies (Multinational Corporations)

Business — Edexcel (9BS0) — Theme 4: Global business

Multinational corporations are the main vehicles of globalisation, and this final topic weighs their effects. The spec asks you to judge their impact on **local** economies (workers, local firms, communities, environment) and on **national** economies (FDI, the balance of payments, technology, consumers, business culture, tax), then to examine the **ethical** questions they raise and how far they can be **controlled** by governments, law, pressure groups and social media. MNCs are rarely simply “good” or “bad”: the strongest answers show that their impact depends on the industry, the host country's bargaining power and regulation, and the MNC's own conduct.

Multinational corporation (MNC) — a business with its headquarters in one country and production or service operations (not just sales) in at least one other country.

Host country — the country in which an MNC invests and operates; **home country** — the country where it is headquartered.

Balance of payments — a record of all financial transactions between a country and the rest of the world, including trade in goods and services, investment income and capital flows.

Technology transfer — the spread of technology, know-how and working methods from an MNC to the host economy.

Transfer pricing — the prices charged between subsidiaries of the same MNC in different countries; can be set to shift profit to low-tax countries.

Tax avoidance — legally arranging affairs to reduce tax; **tax evasion** — illegally not paying tax owed.

Pressure group — an organisation that seeks to influence businesses or government on a particular issue without seeking election.

Supply chain — the network of firms involved in producing and delivering a product, from raw materials to the final customer.

1. The impact of MNCs (4.4.1)

Impact on the local economy

Area	Potential benefits	Potential costs
Local labour, wages, working conditions and job creation	Direct jobs in the MNC and indirect jobs in suppliers and local services (the multiplier effect); MNCs often pay more than local firms; training and career development; health and safety standards may be higher than local norms	Jobs may be low-skilled, with managerial roles filled by expatriates; in some low-income countries, low pay, long hours and poor safety; "footloose" MNCs can relocate, leaving mass unemployment; MNCs can attract the best workers away from local firms
Local businesses	New supply contracts: Nissan's Sunderland plant supports a cluster of component suppliers in the North East; demand for local services (catering, cleaning, transport); local firms learn by copying better practices	Local competitors may be driven out by the MNC's scale, lower prices and marketing power (e.g. independent retailers and cafés against global chains); MNCs may import components rather than buy locally
The local community and environment	Investment in infrastructure (roads, utilities); sponsorship of local schools, health and sports; CSR projects	Pollution, congestion, loss of green space; exploitation of natural resources; cultural change (erosion of local identity); community dependence on a single employer

Impact on the national economy

Area	Benefits	Costs
FDI flows	Inward FDI brings capital the host country may lack, creating jobs, raising productivity and growth. The	Profits flow back to the home country; foreign ownership of strategic assets raises security concerns (the UK's

	UK is one of the largest recipients of FDI in Europe	National Security and Investment Act 2021 allows government to block or condition such deals)
Balance of payments	Inward investment is a capital inflow; production for export improves the trade balance (most Nissan Sunderland cars are exported); import substitution	Repatriated profits and dividends are outflows; MNCs may import many components, worsening the trade balance
Technology and skills transfer	New technology, management practices and skills spread to local workers and suppliers — Japanese car makers brought lean production, kaizen and just-in-time to UK manufacturing in the 1980s–90s	Key R&D and high-skill work may remain in the home country; technology may be protected so little spreads
Consumers	More choice, lower prices from economies of scale, higher quality products, innovation	MNCs with market power may raise prices or reduce choice over time; aggressive marketing, including of unhealthy products
Business culture	New ideas on quality, productivity, teamworking and HR practices spread to domestic firms; higher standards of corporate governance	Imported cultures can clash with local norms; long-hours or anti-union cultures; homogenisation
Tax revenues and transfer pricing	Corporation tax, employment taxes and VAT raise government revenue	MNCs may use transfer pricing and other tax planning to book profits in low-tax countries, reducing the host country's tax revenue

Transfer pricing — worked example

An MNC makes a product in Country H (corporation tax 25%) for £60 and sells it to customers for £100. Total profit = £40.

- **No transfer pricing:** all profit booked in Country H: tax = $40 \times 25\% = \text{£10.00}$.

- **With transfer pricing:** the Country H subsidiary sells the product to a sister subsidiary in Country L (tax 10%) for £62, which sells it to customers for £100. Profit in H = $62 - 60 = £2$, taxed at 25% = £0.50. Profit in L = $100 - 62 = £38$, taxed at 10% = £3.80. Total tax = **£4.30** — a saving of £5.70 per unit (57%), and Country H loses £9.50 of tax revenue per unit.

Tax authorities require transfer prices to follow the **arm's length principle** (the price independent firms would agree), but this is hard to enforce for intangible items such as brands, patents and management fees. **Real-world responses:** the EU ordered Apple to repay €13bn of Irish tax benefits, a ruling upheld by the EU Court of Justice in September 2024; the UK introduced a 2% Digital Services Tax in 2020; and around 140 countries agreed in 2021 to an OECD global minimum corporate tax rate of 15% ("Pillar Two"), applied in the UK from 2024 — although in 2025 G7 countries agreed, after US pressure, to exempt US-headquartered groups from parts of it.

Exam Tip: "Assess the impact of MNC X on country Y" is a classic Paper 1 question. Make sure you distinguish **local** from **national** effects, as the spec does, and weigh them: an MNC may create jobs locally while reducing national tax revenue through transfer pricing. The judgement usually depends on how much value stays in the host country (local sourcing, training, reinvested profit, tax paid) versus how much flows out.

2. Ethics (4.4.2)

Stakeholder conflicts

MNCs operate across many countries with different laws and expectations, so conflicts are sharper than for domestic firms:

- **Shareholders vs workers** — lower costs through low wages in supplier factories vs fair pay and safe conditions.
- **Shareholders vs communities and the environment** — cheapest extraction or production methods vs pollution and resource depletion.
- **Home vs host country governments** — where profits should be taxed; where jobs should be located.
- **Customers vs workers** — demand for ever-cheaper "fast fashion" vs the pay of the people who make it.

Pay and working conditions

MNCs and their suppliers in low-income countries can pay wages well below Western levels. The ethical question is whether wages are fair relative to local living costs, and whether conditions are safe. *Examples:* the collapse of the Rana Plaza garment factory in Bangladesh in April 2013 killed 1,134 workers producing clothing for Western brands; it led to the legally binding Bangladesh Accord on Fire and Building Safety. In 2020, reports of garment workers in Leicester being paid well below the minimum wage in factories supplying Boohoo triggered an independent review and a fall in its share price — showing the problem is not confined to developing countries.

Counter-argument: jobs with MNCs often pay more than the alternatives available locally, and export manufacturing has been a route out of poverty for millions in China, Bangladesh and Vietnam. Imposing Western wage levels could remove the cost advantage and the jobs.

Environmental considerations

- **Emissions** — greenhouse gases and air pollution from production and transport. Volkswagen's 2015 "dieselgate" scandal (software designed to cheat emissions tests) cost it more than €30bn. MNCs may locate polluting activities in countries with weaker regulation ("pollution havens"). Pressure from investors and regulators is growing: the UK requires large companies to report energy use and carbon emissions.
- **Waste disposal** — dumping of hazardous waste and export of plastic and electronic waste to lower-income countries. The Trafigura case (2006), in which toxic waste was dumped in Côte d'Ivoire, led to thousands seeking medical treatment and large settlements. Plastic packaging waste is a major reputational issue for consumer-goods MNCs such as Coca-Cola, Nestlé and Unilever.

Supply chain considerations

- **Exploitation of labour** — forced labour, excessive hours, withheld wages, unsafe factories, debt bondage among migrant workers. The UK Modern Slavery Act 2015 requires businesses with turnover of £36m or more to publish an annual statement on steps taken to prevent slavery in their supply chains. Allegations of forced labour in the Xinjiang cotton supply chain have led to US import bans.
- **Child labour** — children working in cocoa farming in West Africa and in artisanal cobalt mining in the Democratic Republic of Congo (cobalt is used in smartphone and EV batteries); Amnesty

International's 2016 report linked cobalt mined by children to the supply chains of major electronics firms.

- Long, complex supply chains with many subcontractors make monitoring difficult; audits can be evaded. Firms respond with supplier codes of conduct, independent audits, certification (Fairtrade, Rainforest Alliance), traceability technology, and publishing supplier lists.

Marketing considerations

- **Misleading product labelling** — false or exaggerated claims about ingredients, origin, health or sustainability. The 2013 horsemeat scandal exposed products labelled as beef containing horsemeat. "Greenwashing" is now a major focus: the ASA banned HSBC adverts in 2022 for omitting its financing of fossil fuels, and the CMA investigated green claims by fashion retailers including ASOS, Boohoo and Asda's George, securing commitments in 2024. Since April 2025 the CMA can directly fine firms up to 10% of global turnover for breaches of consumer law.
- **Inappropriate promotional activities** — marketing unhealthy food, alcohol, tobacco or gambling to children or vulnerable groups; aggressive marketing in developing countries (the Nestlé baby-formula boycott dating from the 1970s is the classic case). The UK restriction on TV and paid online advertising of less healthy food and drink (before 9pm on TV) takes legal effect from January 2026.

3. Controlling MNCs (4.4.3)

Factor	How it controls MNCs	Limitations	Examples
Political influence	Governments negotiate conditions on investment (jobs, local sourcing, tax); international co-operation (OECD, G7, WTO, EU) sets common rules; public pressure from politicians	MNCs can play governments against each other, threatening to relocate; countries compete for FDI with incentives; MNCs lobby heavily and some are larger than the economies of the countries they operate in	OECD global minimum tax; parliamentary select committees questioning executives (Starbucks, Amazon and Google over UK tax in 2012)

Legal control	Competition law, tax law, employment and health and safety law, environmental regulation, consumer protection, reporting requirements	Laws differ across countries; enforcement is weak in some; legal action is slow and costly; fines may be small relative to profits	EU fines on Google and Apple for competition breaches (e.g. €1.8bn on Apple in 2024); EU Digital Markets Act; UK DMCC Act 2024 — the CMA designated Google as having “strategic market status” in search in October 2025; Modern Slavery Act 2015
Pressure groups	Campaigns, research reports, protests, boycotts and shareholder activism raise awareness and damage reputations, pushing MNCs to change	Limited resources compared with MNCs; public attention fades; some campaigns lack evidence	Greenpeace's 2010 campaign against Nestlé over palm oil linked to deforestation led Nestlé to change suppliers; Fashion Revolution and Labour Behind the Label after Rana Plaza; ShareAction filing climate resolutions at AGMs
Social media	Instant global spread of information, videos and boycotts; consumers and employees can expose poor practice; reputational damage affects sales and share price quickly	Outrage is often short-lived; misinformation; MNCs use social media for PR too; impact depends on whether customers change their buying	United Airlines' 2017 video of a passenger being dragged from a flight; the 2023 Bud Light boycott in the US, after which it lost its position as the best-selling US beer; viral posts about working conditions at warehouses and delivery firms

Exam Tip: When evaluating how far MNCs can be controlled, compare the factors rather than describing each. Legal control is the most powerful *where laws exist and are enforced*,

but MNCs can relocate or exploit gaps between countries. Social media and pressure groups are fastest and work across borders, but depend on consumers caring and changing behaviour. A strong conclusion might argue that **co-ordinated international regulation** (e.g. the global minimum tax) is the most effective control, while noting how hard it is to agree and how easily it is weakened by major economies opting out.

How Edexcel rewards this topic

- **Knowledge:** precise definition of MNC, FDI, transfer pricing, balance of payments.
- **Application:** identify the MNC, host country and the specific impacts in the extract — number of jobs, wage levels, tax paid, environmental issues.
- **Analysis:** develop chains — MNC opens factory → jobs and supplier contracts → higher local incomes → multiplier effect on local businesses; *but* → local rivals lose market share.
- **Evaluation:** weigh benefits against costs; distinguish short-run from long-run and local from national; consider who gains and who loses; conclude on what the overall impact depends on.

Common mistakes

- Defining an MNC as any firm that sells abroad — an exporter is not an MNC; it must *operate* (produce or provide services) in more than one country.
- Confusing tax avoidance (legal) with tax evasion (illegal).
- Writing one-sided answers that treat MNCs as exploitative — examiners reward balance.
- Ignoring the host country's perspective in ethics questions: the relevant comparison for wages is local alternatives, not UK wages.
- Listing control methods without judging their effectiveness.

Quick recall

- Local impact: labour, wages, conditions, jobs; local businesses; community and environment
- National impact: FDI flows, balance of payments, technology and skills transfer, consumers, business culture, tax revenues and transfer pricing

- Transfer pricing shifts profit to low-tax countries; arm's length principle; OECD 15% global minimum tax
- Ethics: stakeholder conflicts; pay and conditions (Rana Plaza, Boohoo Leicester); emissions and waste; supply-chain exploitation and child labour; misleading labelling and inappropriate promotion
- Control: political influence, legal control, pressure groups, social media — each limited by MNCs' size, mobility and differences between countries